

TENTATIVE RULING

Rafael G. Gomez

v.

MTC Financial, Inc., dba Trustee Corps, et al.
26CV000972

Motion for Judgment on the Pleadings

Hearing Date: September 11, 2026

The unopposed motion filed by Defendants Select Portfolio Servicing, Inc. (“SPS”) and Onslow Bay Financial LLC (collectively, “Defendants”) for judgment on the pleadings is **GRANTED WITHOUT LEAVE TO AMEND**. Defendants’ request for judicial notice of the recorded foreclosure-related documents and the bankruptcy petition and docket is **GRANTED**.

Background.

In his Verified Complaint filed on February 24, 2026, Plaintiff Rafael G. Gomez (“Plaintiff”) alleges that he “lawfully acquired” and “was the fee owner” of 109 Denner Road in Salinas, California (“Property”). [Complaint at ¶¶ 5-6.] He further alleges that in “the context of the acquisition of the [P]roperty from the defendant, Plaintiff discovered that the defendants had all engaged in fraudulent and deceptive lending practices,” including “[f]raudulent and inflated appraised value” of the Property and “[f]ailure to disclose structural defects which were not so conspicuous at the time of closing.” [*Id.* at ¶ 12.] Plaintiff’s causes of action seek (1) cancellation of trustee sale dated January 20, 2026, (2) cancellation of the trustee’s deed upon sale dated January 20, 2026, and (3) quiet title.

Legal Standard.

A party can file a motion for judgment on the pleadings either before or even during trial. The valid basis for such a motion is similar to that of a general demurrer, specifically, the failure to state a cause of action or defense. [*Dobbins v. Hardister* (1966) 242 Cal.App.2d 787, 791; *see also Sofias v. Bank of America* (1985) 172 Cal.App.3d 583, 586 (The non-statutory motion for judgment on the pleadings can be made at any time, even during trial, since the grounds for a general demurrer are never waived.); Code Civ. Proc. § 438.]

A motion for judgment on the pleadings serves the same function as a general demurrer. It therefore attacks only defects disclosed on the face of the pleadings or by matters that can be judicially noticed. [*Lance Camper Manufacturing Corp. v. Republic Indemnity Co.* (1996) 44 Cal.App.4th 194, 198.] Therefore, the presentation of extrinsic evidence is improper. [*Id.*; *Cloud v. Northrop Grumman Corp.* (1998) 67 Cal.App.4th 995, 999.] A motion for judgment on the pleadings accepts as true all material factual allegations of the challenged pleading unless they are contrary to law or to facts of which a court may take judicial notice. [*Mechanical Contractors Assn. v. Greater Bay Area Assn.* (1998) 66 Cal.App.4th 672, 677; *Edwards v. Centex Real Estate Corp.* (1997) 53 Cal.App.4th 15, 27.] On a motion for judgment on the

pleadings, a court may take judicial notice of facts that cannot reasonably be controverted, even if they negate an express allegation of the pleading. [See *Columbia Casualty Co. v. Northwestern Nat. Ins. Co.* (1991) 231 Cal.App.3d 457, 468-469; *Evans v. Cal. Trailer Court, Inc.* (1994) 28 Cal.App.4th 540, 549.]

In ruling on a motion for a judgment on the pleadings, the court must liberally construe the complaint's allegations. [Code Civ. Proc. § 452.] "This rule of liberal construction means that the reviewing court draws inferences favorable to the plaintiff, not the defendant." [*Perez v. Golden Empire Transit Dist.* (2012) 209 Cal.App.4th 1228, 1238.] Leave to amend should be granted if there is any reasonable possibility that the plaintiff can state a good cause of action. [*Virginia G. v. ABC Unified School Dist.* (1993) 15 Cal.App.4th 1848, 1852.]

Discussion.

A nonjudicial foreclosure sale offers a swift, cost-effective, and efficient way to address defaulting debtors or trustors. [*Ram v. OneWest Bank, FSB* (2015) 234 Cal.App.4th 1, 10 (internal quotes and citations omitted).] To keep this remedy available to beneficiaries while safeguarding borrowers' rights, Civil Code sections 2924 through 2924k establish a detailed framework for regulating nonjudicial foreclosure sales under a power of sale in a deed of trust. [*Ibid.*] Under this arrangement, the trustee holds the title and can sell the property if the mortgage is in default. [*Ibid.*] The foreclosure process begins with the trustee, mortgagee, beneficiary, or their authorized agents recording a notice of default. [*Ibid.*] This notice must identify the deed of trust by naming the trustors, specify that a breach of the secured obligation has occurred, detail the known breaches, and state the beneficiary's intention to sell the property to satisfy the defaulted obligation. [*Ibid.*] After three months, the beneficiary must publish, post, mail, and record a notice of sale as required by law. [*Ibid.*]

A lawsuit contesting a nonjudicial foreclosure sale seeks to annul the sale and restore ownership. To succeed, three elements must be demonstrated: (1) the trustee caused an illegal, fraudulent, or willfully oppressive sale of real property under a power of sale in a deed of trust; (2) the party challenging the sale experienced prejudice or harm; and (3) the trustor either tendered the secured debt amount or was excused from doing so." [*Ram*, 234 Cal.App.4th at 11.]

A. First and Second Causes of Action.

First, Defendants argue that the First and Second Causes of Action fail as a matter of law because Plaintiff failed to allege tender. Indeed, Plaintiff merely alleges in his Complaint that he was "willing and able to tender," but offers no facts demonstrating a full, unconditional tender. [Complaint at ¶ 47.] Tender must be pleaded with supporting facts and cannot rest on conclusory statements. [*Lona v. Citibank, N.A.* (2011) 202 Cal.App.4th 89, 104.] Although exceptions to tender exist, the Complaint's allegations of loan-origination fraud concern a lender (AHL Funding) other than the foreclosing Defendants, who acquired the beneficial interest by assignment in 2023. These allegations do not excuse tender here.

Second, Defendants argue that the First and Second Causes of Action state no viable claim because Plaintiff's wrongful foreclosure theory rests on alleged violations of Civil Code sections 2923.5 and 2923.6, the Homeowners Bill of Rights ("HBOR"). However, these provisions apply only to owner-occupied residential property used as the borrower's principal residence and to loans made for personal, family, or household purposes. [Civ. Code § 2924.15.] Here, the Complaint does not allege that the Property was Plaintiff's principal residence or that the loan was for personal purposes. The Deed of Trust, including the 1-4 Family Rider, indicates the loan was not an owner-occupied consumer loan. [Deed of Trust, Exh. 1 to Defendants' Request for Judicial Notice ("RJN") at pp. 2, 18-21.] The recorded Notice of Default includes the required declaration expressly stating HBOR does not apply because the property is neither owner-occupied nor tenant-occupied within the meaning of Civil Code section 2924.15. [Notice of Default, Exh. 4 to RJN at 3 ("The provisions of California Civil Code §2923.5 do not apply because the property is not tenant or owner occupied as defined by California Civil Code § 2924.15.")] Plaintiff's bankruptcy petition likewise lists his residence as 49 Cleaves Avenue, San Jose. [Bankruptcy Court Docket, Exh. 9 to RJN at 1.] Accordingly, the statutory provisions Plaintiff relies upon do not apply, and the Complaint fails to allege a viable HBOR-based theory.

Third, Plaintiff alleges foreclosure occurred in violation of the automatic stay. [Complaint at ¶¶ 48-49.] The judicially noticed bankruptcy documents show: (1) Plaintiff filed Chapter 13 on September 10, 2024—after the Notice of Default was recorded [Bankruptcy Petition, Exh. 8 to RJN; Notice of Default, Exh. 4 to RJN]; (2) the bankruptcy case was dismissed on September 25, 2024 for failure to comply, and closed on November 8, 2024 [Bankruptcy Court Docket, Exh. 9 to RJN at pp. 2-3]; and (3) the trustee's sale did not occur until January 20, 2026 [Trustee's Deed Upon Sale, Exh. 7 to RJN at p. 2]. Because the stay terminated upon dismissal in 2024, no stay was in effect at the time of sale. Plaintiff cannot state a claim for foreclosure in violation of Civil Code section 362.

Fourth, the Trustee's Deed Upon Sale recites compliance with all statutory requirements, creating a rebuttable presumption of regularity (and conclusive as to any bona fide purchaser). [*Millennium Rock Mortgage, Inc. v. T.D. Service Co.* (2009) 179 Cal.App.4th 804, 809.] Plaintiff's conclusory allegations of irregularity do not rebut that presumption.

Fifth, SPS argues that it is merely the loan servicer and cannot be a "foreclosing defendant" because it does not hold any beneficial interest. [Complaint at ¶ 2.] A servicer is not a foreclosing beneficiary or trustee, and SPS therefore cannot be liable for wrongful foreclosure. [*Fonteno v. Wells Fargo Bank, N.A.* (2014) 228 Cal.App.4th 1358, 1374.]

For any of the reasons above, Plaintiff's First and Second Causes of Action fail as a matter of law. The motion is **GRANTED**.

B. Third Cause of Action for Quiet Title.

The Complaint's Third Cause of Action for quiet title is entirely derivative of the alleged wrongful foreclosure violations already determined nonviable. Plaintiff alleges no legally

cognizable basis to quiet title against Defendants. Therefore, the motion is GRANTED as to this cause of action.

C. Leave to Amend.

Plaintiff has not opposed the motion nor shown how the defects could be cured. The documents subject to judicial notice demonstrate that Plaintiff cannot plead owner-occupancy, applicability of HBOR, or the existence of a bankruptcy stay at the time of sale. No leave to amend is granted.

Conclusion.

Defendants' motion for judgment on the pleadings is **GRANTED WITHOUT LEAVE TO AMEND**. Defendants shall prepare and serve the Proposed Order consistent with this Tentative Ruling.

NOTE RE TENTATIVE RULING

This tentative ruling becomes the court's order, and no hearing shall be held unless one of the parties contests it by following Rule 3.1308 of the California Rules of Court and Monterey County Local Rule 7.9. Those parties wishing to present an oral argument must notify all other parties and the Court no later than 4:00 p.m. on the court day before the hearing; otherwise, **NO ORAL ARGUMENT WILL BE PERMITTED, AND THE TENTATIVE RULING WILL BECOME THE ORDER OF THE COURT AND THE HEARING VACATED.** You must notify the court by [email](#) or by calling the Calendar Department at 831-647-5800, extension 3040, before 4:00 p.m. on the court day before the hearing.